

As he told me, though, the older he gets, the more he whittles things down to the essentials. And the most essential thing is that third item.

This is the most important principle behind the 100-bagger. In one of his letters, he puts it this way: “Over a period of years, our thinking has focused more and more on the issue of reinvestment as the single most critical ingredient in a successful investment idea, once you have already identified an outstanding business.”

Consider a business with \$100 invested in it. Say it earns a 20 percent return on its capital in one year. That is a high return and would get Akre interested. A 20 percent return implies \$20 in earnings. But the key to a really great idea would be a business that could then take that \$20 and reinvest it alongside the original \$100 and earn a 20 percent return again and again and again.

As an aside, you’ll note the absence of dividends. When a company pays a dividend, it has that much less capital to reinvest. Instead, you have it in your pocket — after paying taxes. Ideally, you want to find a company that can reinvest those dollars at a high rate. You wind up with a bigger pile at the end of the day and pay less in taxes.

To get back to the example, at the end of that first year, you would have \$120. Soon after, the magic starts to happen:

1	\$120.00	6	\$298.60
2	\$144.00	7	\$358.32
3	\$172.80	8	\$429.98
4	\$207.83	9	\$515.98
5	\$248.83	10	\$619.17

At the end of the fourth year, you’ve doubled your money. At the end of 10 years, you’ve got a six-bagger. And in about 25 years, you’ll have 100x your money. Of course, you don’t have to hold for the whole time.

And there is no guarantee a business can keep up such a pace. I’m just showing you the power of compounding.

Compounding is what lies at the heart of Akre’s approach. He wants to find that great business and just sit tight — just like Phelps.

I’d also add that Akre runs a focused fund. His top five to seven ideas often make up half of his portfolio. This is something we’ve covered in chapter 10. The great investors concentrate on their best ideas.